

Bhageria Industries Ltd

Concall Tracker · Filed under Q1 2027 (quarter ended Jun 2026) · Prepared 25 Jul 2026 · NSE/BSE: BHAGERIA

A Mumbai-based specialty & dye-intermediate chemicals maker — it turns basic chemicals into H-ACID, Vinyl Sulphone and Gamma Acid (building blocks for textile dyes), makes its own sulphuric acid, and runs side businesses in solar power, plasticizers and small pharma APIs.

Coverage caveat (read first). Bhageria only **started holding earnings conference calls with the Q2 & H1 FY26 call on 28 Oct 2025** — that is the **only** transcript publicly available (on Screener and the company site). No transcript has been published for the Q3 FY26, Q4 FY26 or Q1 FY27 results. So this report **deep-reads that single call** and then **cross-checks what management promised against the actual reported numbers** for the three quarters since (Dec 2025, Mar 2026, Jun 2026), taken from Screener and exchange filings. With just one call, the "consistency" read is necessarily limited — stated plainly in the verdicts.

1. Snapshot

Bhageria makes **dye intermediates** (chemicals that dye-makers turn into colours for the textile industry) — its main products are **H-ACID, Vinyl Sulphone and Gamma Acid**. It is backward-integrated into **sulphuric acid / oleum** (it makes far more than it needs and sells the surplus), and runs three smaller arms: **solar power**, a new **plasticizers** (PVC additive) line, and a tiny **pharma API** unit (steroids and vitamin B12). Roughly 70% of chemical output is sold, ~30% is consumed in-house; exports go mainly to South-East Asia and Europe.

Figure	Value	Plain-English read
Market cap	~₹998 cr	A small-cap company; the whole business is valued near ₹1,000 crore.
Share price / P/E	₹229 · 13.4×	You pay about ₹13 for every ₹1 of yearly profit — a modest valuation for a chemicals maker.
FY26 revenue (consol.)	₹871 cr	Total sales for the year to Mar 2026 — up ~46% on FY25 (₹597 cr). A big jump.
FY26 net profit	₹50 cr	What was left after all costs and tax — up ~19% YoY; profit grew far slower than sales because margins were squeezed.
FY26 operating margin	~11%	₹11 of operating profit per ₹100 of sales — below the 15–27% this business earned in FY18–FY21.
Borrowings (Mar 2026)	₹8 cr	Almost debt-free against ₹601 cr of reserves+equity — a very clean balance sheet.
Promoter holding	71.77%	The founding family owns nearly three-quarters — steady for years, high skin-in-the-game.
ROCE (FY26)	11%	Return on the money put into the business — recovering from a 4–5% trough in FY23–24 but still modest.

2. Concall coverage

Period	Call date	Transcript read?
Q2 & H1 FY26 (Jul–Sep 2025)	28 Oct 2025	Yes — read in full ★ (company's first-ever earnings call)
Q3 FY26 (Oct–Dec 2025)	No call published	No transcript — tracked via reported financials
Q4 & FY26 (Jan–Mar 2026)	Results 2 May 2026; no transcript published	No transcript — tracked via reported financials
Q1 FY27 (Apr–Jun 2026)	Results 22 Jul 2026; no transcript published	No transcript — tracked via reported financials

Only **one** concall transcript exists in Bhageria's history (Oct 2025). The three quarters after it are covered here through Screener's quarterly numbers and exchange result filings, since the company has not published transcripts for them.

2b. Latest concall highlights — Q2 & H1 FY26 (call 28 Oct 2025) ★

- **Strong, volume-led growth.** Q2 FY26 total income ₹206 cr, up 55.6% YoY; net profit ₹11.5 cr, up 80% YoY (net margin 5.6% vs 4.8%). H1 FY26 income ₹370 cr (+48%), profit ₹22.4 cr (+83%). Management said the jump was **~30–35% higher volumes**, not higher prices.
- **New plasticizers line launched.** A ₹10 cr, 2,000-tonne-a-month plasticizer (PVC additive) plant went commercial by Dec 2025 — built on existing infrastructure, with a stated **peak revenue potential of ~₹240 cr a year**. Bhageria's first step into polymer additives.
- **H-ACID capacity expansion.** Raising H-ACID from 400 to 500 tonnes/month (~₹5 cr, live by Jan 2026); plants already run at **95–97% utilisation**. Management expected this to add **~₹50–75 cr of annual revenue from Q4**.
- **Margin pledge.** Margins had fallen to ~10% (from 15–16% a year earlier) on high raw-material costs; management guided a **2–3 point recovery to 13–14%** and said **"Q4 will be much better."** They would not commit to a return to the old 17–20% levels.
- **Tone: confident and expansionist** — leaning on a debt-free balance sheet, a fresh CARE A1 rating, and diversification into higher-margin niches (plasticizers, ethoxylates, regulatory pharma, captive solar to cut power costs).

2c. Business mix & capacity

Domestic vs export: Management did **not** give a clean India-vs-overseas revenue split. Colour given: exports go **mainly to South-East Asia and Europe** (the US "is not a big market," so US tariffs have little effect); the **top 10 customers are ~45–50% of revenue**; end-users are dye makers serving textiles and leather. Of its sulphuric acid it consumes ~30% in-house and sells ~70%. (Plainly: reasonably diversified across local and export, but no exact split disclosed.)

Capacity utilisation: Plants run at **~95–97%** — effectively flat out, with little spare room, which is why capacity is being added. Named capacities: H-ACID 4,800 tpa, Vinyl Sulphone 3,600 tpa, Gamma Acid 1,200 tpa; sulphuric acid ~10,000 tonnes/month total. (Plainly: almost no idle headroom — future growth needs the H-ACID de-bottlenecking now and, beyond ~500 tpm, a new greenfield plant.)

3. Earning-trigger thesis ★

The driver management keeps pointing to is a **recovery in the dye-intermediate cycle** — after 3–4 bad post-COVID years of Chinese dumping and weak prices, demand and pricing are normalising, letting Bhageria push **~30% more volume through near-full plants** and claw margins back toward 13–14%. Layered on top: **capacity expansion** (H-ACID 400→500 tpm), a **debt-free balance sheet** funding **diversification into higher-margin niches** (plasticizers, ethoxylates, regulatory-market pharma APIs, captive solar to cut power cost). The near-term part of this thesis is **visibly playing out** in the reported numbers since the call.

Trigger	What management said	Evidence so far	Horizon	Strength
Volume-led chemical growth + margin recovery	~30–35% volume growth; FY26 chemical revenue ₹725–775 cr; margins recover to 13–14%.	FY26 chemical segment ₹830 cr (beat top of guidance). Operating margin: 8% (Q3) → 12% (Q4) → 14% (Q1 FY27) . Revenue at record ₹284 cr in Jun-26 quarter.	Now — playing out	Strong — the core promise is being delivered on the numbers.
H-ACID capacity expansion	400→500 tpm by Jan 2026; +~₹55 cr annual revenue from Q4.	Quarterly revenue stepped up Q3 ₹242 cr → Q4 ₹267 cr → Q1 FY27 ₹284 cr, consistent with the ramp.	Short (FY27)	Moderate — on-track, but hard to isolate its exact contribution.
Plasticizers / ethoxylates diversification	₹10 cr line, up to ~₹240 cr peak revenue; higher-margin specialty shift; results "by Q1 FY27."	Line commercialised; no separate revenue disclosed yet. Specialty share still small (~5–7%, targeted 20–22%).	Medium (2–3 yrs)	Unproven — real optionality, but no hard numbers yet.
Regulatory-market pharma (steroids, B12)	US/Japan DMF filings Nov–Dec 2025; break-even ~2 yrs; regulated-market margins "very good."	Pharma segment revenue actually fell to ₹4.2 cr in FY26 (from ₹8.1 cr); still pre-approval and loss-making.	Long (FY28+)	Weak / early — tiny, shrinking, and entirely dependent on future approvals.
Solar power (32 MW)	₹152 cr project, ~₹22 cr/yr revenue, equity IRR ~16%; captive solar to cut manufacturing cost.	Solar segment ₹26.9 cr in FY26; steady, low-margin annuity plus cost savings.	Ongoing	Moderate — stable but small; more a cost lever than a growth engine.

4. Management consistency scorecard

Because only one call exists, "consistency" here means: did the specific promises made on 28 Oct 2025 show up in the actual results reported for the three quarters since?

Promise (Oct 2025 call)	What actually happened	Verdict
FY26 chemical revenue of ₹725–775 cr.	Chemical segment came in at ₹830 cr — above the top of the range.	Delivered / beat
Margins recover 2–3 points to 13–14%.	FY26 full-year OPM ~11%, but the exit run-rate reached the target: Q4 12%, Q1 FY27 14% .	Delivered (a bit late)
H-ACID expansion adds ~₹55 cr/yr from Q4.	Revenue rose sequentially each quarter through Jun-26; ramp consistent, though not separately quantified.	On-track
"Q4 will be much better."	Q4 FY26 revenue up ~43% YoY, but Q4 net profit was flat-to-down YoY (standalone ₹14.1 cr vs ₹16.5 cr) on cost pressure — better on sales, not on bottom line.	Partly
Plasticizers commercialised by Dec 2025; results by Q1 FY27.	Line started; no segment-level plasticizer revenue disclosed — too early to verify the ₹240 cr potential.	Too early
Pharma DMF filings; break-even in ~2 yrs.	Pharma revenue shrank to ₹4.2 cr in FY26; still investing, no approvals confirmed publicly.	Too early / slipping

Narrative drift: With a single call there is no multi-year story to test for drift — but the one useful test (guidance vs delivery) is **encouraging**: the core chemical revenue and margin-recovery promises materialised in the subsequent reported numbers, and the balance sheet stayed clean (borrowings fell to ₹8 cr). The softer spots are the **quality of the profit jump** (Q1 FY27 net profit of ₹36 cr was flattered by ~₹17 cr of other income versus ₹40 cr of operating EBITDA) and the still-speculative diversification (plasticizers, pharma). Management was candid — refusing to promise a return to old 17–20% margins — which reads as credible rather than promotional.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a **real, concrete driver** and it is **visibly delivering right now**: chemical revenue beat guidance, operating margin has climbed back to 14%, quarterly sales are at a record, and the company is debt-free. That is a genuine earnings upswing, not just talk. But the word is **durable** — and the core business is a **cyclical, commodity dye-intermediate** (H-ACID/Vinyl Sulphone are monthly-priced, China-competition-exposed products recovering off a multi-year trough), while the higher-margin, more defensible legs (specialty plasticizers, regulatory pharma) are still tiny and unproven. The current strength looks more like a favourable turn in the cycle than a locked-in structural moat, so the honest call is MAYBE, leaning positive on the near term.

Management consistent? → MAYBE

The one hard test available — did the Oct 2025 guidance show up in later results — came out **largely in management's favour**: chemical revenue beat, margins recovered to the promised 13–14% (a quarter or two late), capacity ramp on-track, and the balance sheet kept clean. That is a good early sign of a management that does what it says. But this rests on a **single earnings call**, so there is no track record of story-drift to judge, and a couple of claims under-delivered (Q4 profit despite higher sales; pharma actually shrank). Consistency is therefore MAYBE — provisional and positive, to be upgraded only once Bhageria has built a multi-call history.

Sources: Bhageria Industries Q2 & H1 FY26 earnings call transcript, 28 Oct 2025 (company website / Screener); Screener.in financial snapshot (profit & loss, quarters, balance sheet, ratios, shareholding); BSE/exchange result filings and press coverage of FY26 results (2 May 2026) and Q1 FY27 results (22 Jul 2026). Figures are consolidated unless noted; some quarterly figures are Screener-rounded. Q3/Q4 FY26 and Q1 FY27 lacked published transcripts and are tracked via reported financials.

This is not investment advice. Do your own due diligence.